Governments must disperse power

The management of a private firm is often quite autocratic, partly because its internal staff is all that it controls. In contrast, public policy requires dispersion of power. The job description for a role in public policy is a package of policy knowledge, team building and nuanced negotiating ability. These are often elusive for persons with a background of leadership in autocratic firms.

Successful governments feature a long and slow process of debate, negotiation and compromise. The leadership in the world of public policy requires the traits of listening, respecting and negotiating middle roads. This is a very different organizational culture when compared with what is found in most private firms.

It is interesting to see that the organizational DNA in the largest and most complex firms veers towards the strategies of government. The largest and most complex firms have reduced power of the CEO, dispersed decision-making structures, and a greater emphasis on rules rather than discretion. The challenge of public administration lies in carrying this organizational evolution, from small firms to the biggest firms, further up a hundredfold.

Governments operate on longer horizons

Many in the world of business have come to revere the alpine-style assault, where a firm builds something very big in almost no time. Instagram got to 10 million users in a year and was bought for $1 billion in two years. A world-straddling company like Google was only founded in 1998. Successful management teams are often imbued with the idea of saving time.

The rhythm of public policy is quite different: to do good things requires a long slow ascent. Big sudden phenomena in the world of policy are generally harmful and/or failures.